DIPLOMA PROGRAMME PRACTICE / HL / SET A

Economics / Paper 1

Question booklet · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

QUESTION 1 / 25 MARKS

Regulating a network monopoly

a Explain why the profit-maximising output of a single-price monopolist can differ from the allocatively efficient output. **[10]**

b Using real-world examples, evaluate price regulation as a means of improving efficiency in a natural monopoly. **[15]**

QUESTION 2 / 25 MARKS

Stabilising a fall in expenditure

a Explain how progressive income taxes and unemployment benefits can moderate a fall in aggregate demand without a new budget decision. **[10]**

b Using real-world examples, discuss whether discretionary fiscal support should be preferred to automatic stabilisers in a deep recession. **[15]**

QUESTION 3 / 25 MARKS

Protection and the distribution of surplus

a Using a diagram, explain the changes in domestic producer surplus and government revenue when a small importing country imposes a non-prohibitive specific tariff. **[10]**

b Using real-world examples, evaluate the case for a tariff intended to protect employment in a strategic industry. **[15]**